

robustness of GEM minimize any data mining and overfitting bias, the usual banes of model construction.

HOW TO USE IT

GEM is simple to implement using exchange-traded funds (ETFs), which have lower operating expenses, more trading liquidity, more transparency, and more efficient tax structures than mutual funds.⁹ One can easily determine GEM rebalancing signals using an online charting program. I suggest PerfCharts by StockCharts.com,¹⁰ because it uses total returns, whereas most other free charting programs use only price changes in their chart construction. You need to enter and save three ETF symbols, one each for U.S. stocks, non-U.S. stocks, and U.S. Treasury bills. Each month you plot the performance of these three ETFs over the past 252 trading days (one calendar year). If one of the two equity ETFs shows the highest return over the past year, then that is your selection for the coming month. If U.S. Treasury bills show the highest return, this means the stock market trend has been down, and you hold an aggregate bond ETF instead.

The costs associated with implementing and managing GEM should be extremely low. There are commission-free ETFs at four different brokerage firms one can use to implement the GEM strategy: Vanguard, Charles Schwab, TD Ameritrade, and Fidelity Investments. The average annual expense ratio of Vanguard's S&P 500, FTSE All-World ex-U.S., and U.S. Total Bond ETFs is only 10 basis points.¹¹ GEM is also relatively tax efficient. Dual momentum usually sells losing positions, creating short-term capital losses while holding onto winning positions for long-term capital gains. Can there be any reason not to use GEM?

ACCOMMODATING DIFFERENT RISK PREFERENCES

We will see in the next chapter that there is little or nothing gained from adding complexity to GEM. Being so simple, one might wonder if there is